

Rising inflation signals June rate hike in the eurozone

The eurozone economy is rapidly losing momentum, while headline inflation is climbing towards 4%. With inflationary expectations now also picking up, the European Central Bank is likely to raise interest rates in June



ECB President Christine Lagarde

Subdued growth in the first quarter...

According to provisional data, the eurozone grew by a disappointing 0.1% in the first quarter, though the erratic Irish GDP data shaved off nearly 0.1pp from the growth rate. Meanwhile, the first hard data for March shows that the quarter ended on a weak note, hardly surprising given the events in the Middle East.

Retail sales fell 0.1% in March, after a 0.3% decline in February. In the ECB's bank lending survey, banks reported a slight net decrease in loan demand for firms in the first quarter of 2026, mainly driven by a decrease in demand for fixed investment.

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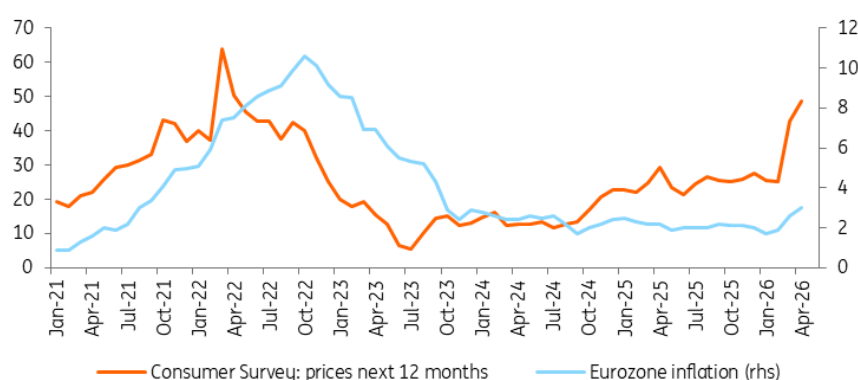
Survey indicators for April show a further loss of momentum, with the PMI below the neutral

threshold of 50, indicating a contraction in private sector activity. This weakness was primarily driven by services, while manufacturing remained somewhat more resilient, albeit partly supported by inventory building rather than underlying demand.

The fear of supply chain disruption has pushed industrial companies to increase their stock of crucial inputs, which has generated more activity in the intermediate goods-producing sectors. But this is likely to bring only temporary growth support.

We continue to expect eurozone GDP to come close to a standstill in the second quarter and only begin to recover gradually after the summer. We have therefore kept our growth forecast unchanged at 0.7% for 2026 and 1.3% for 2027.

Inflation expectations are rising



Source: LSEG Datastream

Inflation hits 3%

The flash estimate for April showed headline HICP inflation rising to 3.0% year on year, up from 2.6% in March. This increase was largely driven by a sharp acceleration in energy prices. Core inflation eased marginally to 2.2%, though the timing of the Easter holidays might have distorted the figure.

Selling price expectations have surged both in the PMI and the European Commission's business surveys. That said, with final demand weaker than in 2022, we don't see these higher selling price expectations fully materialising in reality. We still expect inflation to increase to close to 4% in the coming months, yielding an average inflation rate of 3.3% for the year. With energy prices likely to be lower again in 2027, headline inflation should fall back to 2.3% next year.

Rate hike in June

Even though ECB President Christine Lagarde doesn't like the word, the eurozone is facing a stagflation like environment, albeit still mild at this stage. Inflation expectations are picking up: the three-year-ahead consumer inflation expectation climbed to 3% in March from 2.5% in February.

In the April press conference, Lagarde stated that in June there would be enough data to make an informed decision. She also said that the fact that in the baseline scenario the market anticipated two rate hikes means that the ECB's reaction function is well understood.

The bottom line is that a rate hike in June is very likely and that a second one in September cannot be ruled out. That said, three rate hikes this year still seems a bridge too far to us.

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